3.3

Marketing Mix

Cambridge IGCSE Business

- Product
- Price
- Place
- Promotion
- Ecommerce
- Marketing Strategy
- International Markets

The 4 Ps of Marketing

Product

What you sell and how it is presented

Price

What you charge customers

Place

How customers access or receive the product

Promotion

How you communicate and advertise

Product

Brand · Packaging · Product Life Cycle · Extension Strategies

Product – Brand Image & Packaging

Brand Image

- Identifies a product through name, symbol or design
- Builds customer loyalty and repeat purchases
- Allows businesses to charge premium prices
- Creates emotional connections that drive long-term loyalty

Famous brand examples:

Apple – Premium tech brand
Nike – Just Do It
amazon – Earth's biggest store
NETFLIX – Stream everything
Tesco – Every little helps

Apple · Nike · Amazon · Netflix · Tesco — recognised worldwide instantly.

A strong brand lets businesses charge more and stand out from competitors.

Packaging

- Protects the product during transport and storage
- Attracts attention on shelf – 'the silent salesperson'
- Communicates key info: ingredients, instructions, safety
- Eco-friendly packaging appeals to green consumers

Example – Coca-Cola's iconic packaging:

Coca-Cola – The iconic red bottle

The red colour and curved bottle are recognised in 200+ countries. The packaging reinforces the whole brand identity.

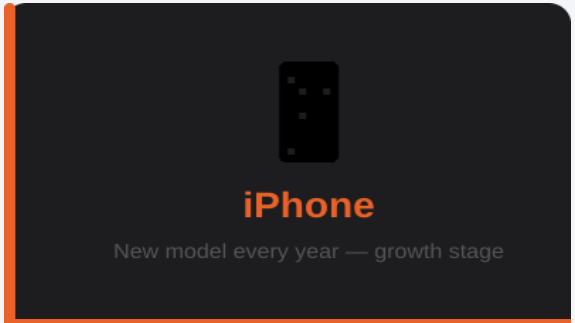
Product – Developing New Products

Advantages

- Keeps up with changing customer needs
- Replaces products entering decline stage
- Opens new customer segments
- Differentiates from competitors
- Increases market share and revenue

Disadvantages

- High R&D and testing costs
- Many new products fail — risky
- Requires significant time and resources
- May cannibalise existing product sales
- Can confuse loyal customers

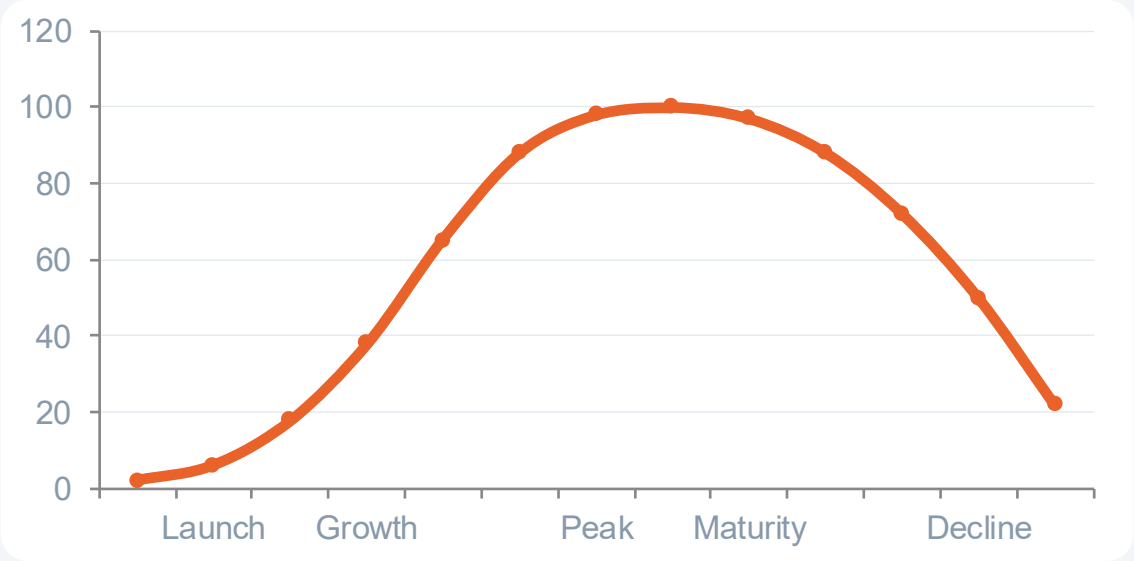


Apple releases a new iPhone every year to stay ahead of Samsung.

Exam tip: Relate your answer to the specific business context given in the case study.

Product – The Product Life Cycle

Every product passes through four stages. Identifying the stage helps decide what strategy to use.



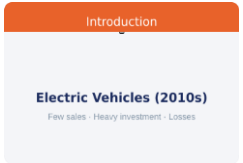
Introduction	Growth	Maturity	Decline

A product can be in different stages in different countries. Extension strategies can delay decline.

Introduction

Electric Vehicles

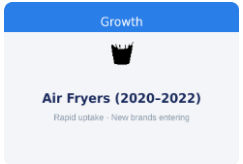
Low sales · High costs · Losses



Growth

Air Fryers 2020–22

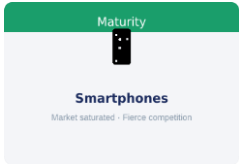
Rapid growth · New brands enter



Maturity

Smartphones

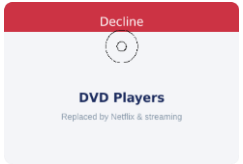
Market saturated · Stable sales



Decline

DVD Players

Replaced by streaming · Falling fast



Product – Extension Strategies

Used to prolong the product life cycle and delay or reverse the decline stage.

New Markets

Sell in a different country or target a new customer group.

McDonald's entered India with a new vegetarian menu.

M
McDonald's

New Uses for the Product

Find a different purpose for the existing product.

Lucozade changed from hospital recovery drink to a sports energy brand.

Lucozade
Hospital drink → sports energy brand

Adapt Product/Packaging

Update design, formula or packaging to make the product feel fresh.

Coca-Cola regularly launches limited-edition cans and new flavours.

Coca-Cola
The iconic red bottle

Increase Promotion

Boost advertising to re-engage existing and attract new customers.

KitKat's 'Have a Break' campaigns reinvigorated global interest in the brand.

KitKat
Have a Break!

Price

Cost-Plus · Competitive · Penetration · Skimming · Dynamic

Price – Five Pricing Methods

Cost-Plus	Add a % mark-up on top of the production cost.		*Bakery spends £1 per loaf → sells at £1.50 (50% mark-up).*	Simple; guarantees profit on every unit. Ignores competitors and customer willingness to pay.
Competitive	Set price in line with, or just below, competitors.		*Asda matches Tesco prices on everyday grocery items.*	Avoids price wars; keeps the business competitive. Squeezes profit margins; depends on similar cost structure.
Penetration	Very low launch price to quickly win market share.		*Disney+ launched at £5.99/month — well below Netflix.*	Rapidly builds a large loyal customer base. Low early profit; customers resist later price rises.
Skimming	High launch price for early adopters; reduced gradually over time.		*PS5 launched at £449; price dropped after the initial demand rush.*	High early profit; creates a strong premium image. Limits early sales volume; attracts competitors quickly.
Dynamic	Prices change in real time based on demand, time or customer data.		*Uber surge pricing at peak hours. Flight prices rise near departure.*	Maximises revenue by responding to live demand. Can frustrate and alienate customers if overused.

Place

Direct · Retailer · Wholesaler · Agent

Place – Distribution Channels

A distribution channel is the route a product takes from producer to end customer. The right channel affects cost, reach and brand control.

Direct to Customer

Producer → Customer

Tesla sells cars only through its own website and showrooms — no dealerships at all.

- ✓ Higher profit margins; full brand control.
- ✗ Must handle all logistics; limited geographic reach.

T Tesla
Direct sales only

Through Retailers

Producer → Retailer → Customer

Cadbury sells chocolate through Tesco and Sainsbury's across the UK.

- ✓ Wide reach; retailer manages the sales process.
- ✗ Retailer takes a profit cut; less display control.

Cadbury
Sold through retailers

Through Wholesalers

Producer → Wholesaler → Retailer → Customer

Small food producers sell to cash-and-carry warehouses, which then supply corner shops.

- ✓ Reaches many small retailers without direct effort.
- ✗ Two middlemen reduce the profit margin significantly.

Through Agents

Producer → Agent → Customer

A UK estate agent sells overseas properties on behalf of foreign owners.

- ✓ Low-cost entry to new markets; agent has local expertise.
- ✗ Agent takes commission; producer loses some sales control.

Promotion

Sales Promotion · Advertising · Why Promote

Promotion – Why Promote & Sales Promotion Methods

Why do businesses promote?

- Increase sales and revenue
- Attract new customers
- Build brand awareness and recognition
- Remind existing customers about the product
- Counter competitors and defend market share

Costa Coffee: collect 8 stamps → get 1 free. Classic loyalty promotion.

Sales Promotion Methods

Vouchers

Tesco Clubcard money-off vouchers.

Loyalty Schemes

Costa: 8 stamps = 1 free drink.

Competitions

Kinder 'Win a trip to the Alps'.

Discounts / BOGOF

Boots: buy-one-get-one-free.

Free Samples

Cereal bars at train stations.

Buy Now, Pay Later

Klarna: pay in 3 instalments.

Promotion – Advertising Methods

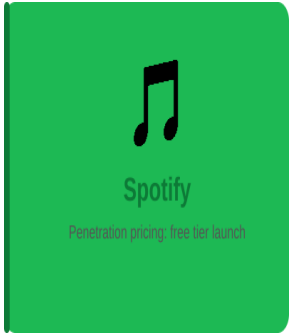
Social Media

📌 *Gymshark built a £1 billion brand using only Instagram influencer partnerships — zero traditional advertising.*

- ✅ Highly targeted; low cost; fully measurable.
- ❌ Can attract negative public comments; easy to ignore.

Direct / Targeted Email

📌 *Spotify sends personalised emails recommending new albums based on your listening history.*



- ✅ Personal, low cost, easy to track open rates.
- ❌ Often marked as spam; low open rates typically.

Leaflets & Flyers

📌 *Local pizza restaurant posts menus through neighbourhood letterboxes each week.*

- ✅ Very low cost; excellent for local businesses.
- ❌ Often thrown away; limited reach; not eco-friendly.

Billboards & Outdoor

📌 *Adidas billboard next to a football stadium on matchday reaches exactly the right audience.*

- ✅ Bold visual impact; high daily footfall seen.
- ❌ Expensive; cannot target specific individuals.

Ecommerce

Online shopping · Mobile banking · Digital ticketing

Ecommerce – What It Is & Real-World Examples

Ecommerce = buying and selling goods or services using the internet. It has transformed how businesses and customers interact.

Online Shopping

amazon
Earth's biggest store

Amazon ships millions of products next-day. ASOS ships to 200+ countries from UK warehouses only.

Mobile / Internet Banking

Monzo and Revolut offer full bank accounts via smartphone app. No branches, instant transfers.

Online Ticketing

Trainline for rail, Ticketmaster for concerts. Instant e-ticket to your phone — no queuing.

Digital Downloads

Spotify
Penetration pricing: free tier launch

Spotify and Netflix deliver music and films instantly. No physical product, no shipping.

B2B Ecommerce

Restaurants order fresh ingredients from suppliers online each morning for next-day delivery.

Marketplace Platforms

eBay and Etsy let small sellers reach global buyers — turning hobbies into businesses.

Ecommerce – Advantages & Disadvantages

Businesses – Advantages

amazon
Earth's biggest store

ASOS
200+ countries online

- Open 24/7 – more sales opportunities every day
- Lower costs – no shop rent or large in-store staff
- Reach customers globally, not just locally
- Detailed data on customer behaviour and preferences
- Easy to update prices, stock and promotions quickly

Businesses – Disadvantages

- High delivery and logistics costs to manage
- Website can crash during busy sales periods
- Very strong price competition from rivals
- Returns are expensive and complex to handle
- Security risks: hacking and customer data breaches

Customers – Advantages

- Shop anytime and anywhere in the world
- Easily compare prices across many stores
- More choice than any single physical shop
- Home delivery saves time and travel costs

Customers – Disadvantages

- Cannot see or try product before buying
- Risk of fraud and counterfeit products
- Delivery delays or items arriving damaged
- Requires internet — not accessible to everyone

Marketing Strategy

Combining all 4 Ps to meet customer needs and business goals

Marketing Strategy – The 4 Ps Must Work Together

A marketing strategy means choosing the right combination of Product, Price, Place and Promotion. All 4 Ps must be consistent with each other and the target market.

	Product	Price	Place	Promotion
ALDI Lowest prices	Own-brand; limited product range	Cost-plus – lowest possible price	Out-of-town stores; limited online	Minimal – price-comparison adverts
LV Louis Vuitton · Luxury	Premium quality; exclusive limited editions	Skimming – high price reinforces luxury status	Exclusive flagship stores only; never in discounters	Fashion shows; celebrity endorsements; selective social media
Spotify Penetration pricing: free tier launch	Digital streaming — completely new product type	Penetration – free tier + cheap premium plan	App stores (iOS/Android) and website only	Social media, influencer referrals and word of mouth

Exam tip: Always justify your chosen marketing mix using specific evidence from the case study.

Entering New International Markets

A key method of external business growth

Entering New Markets – Advantages & Disadvantages

Businesses can grow by selling in other countries. This is one of the most important methods of external growth.

Advantages

- Increase sales and revenue from millions more customers
- Spread risk across multiple markets worldwide
- Extend product life cycle where the market is still new
- Access lower production costs in some countries
- Benefit from rapidly growing global consumer demand

Disadvantages

- Cultural differences – tastes and habits vary widely
- Language barriers and translation costs
- Different legal requirements: labelling, safety, taxes
- Lack of knowledge of the local market
- Exchange rate changes can reduce profit margins

International expansion examples:

Starbucks – 85+ countries

NETFLIX – Stream everything

M – McDonald's

Walmart – Failed in Germany

ASOS – 200+ countries online

Entering New Markets – Methods of Entry

Exporting

Produce at home; ship and sell products abroad.

Jaguar Land Rover makes cars in the UK and exports to China, the USA and Europe.

- ✅ Low risk; no overseas investment needed.
- ❌ Transport costs and import tariffs may apply.

Ecommerce

Sell internationally via website or global marketplace.

ASOS ships to 200+ countries from UK warehouses using only its website.

- ✅ Very low entry cost; no physical presence abroad.
- ❌ Complex logistics; currency and returns management.

ASOS
200+ countries online

Franchise

Local partner operates using your brand, systems and products.

McDonald's uses franchising in 100+ countries — local owners, global brand.

- ✅ Rapid expansion; franchisee takes on local risk.
- ❌ Less quality control; one bad franchisee harms brand.

M
McDonald's

Joint Venture

Partner with a local company to share costs and market knowledge.

Sony Ericsson — Sony and Ericsson partnered to design and sell mobile phones together.

- ✅ Shared costs and risk; partner brings local expertise.
- ❌ Profits are shared; partner disagreements can arise.

Key Revision Checklist – 3.3 Marketing Mix

Product	Brand image, packaging, new products, 4 PLC stages (intro → growth → maturity → decline), 4 extension strategies
Price	5 methods: cost-plus, competitive, penetration, skimming, dynamic — advantages, disadvantages and when to use each
Place	4 channels: direct, retailer, wholesaler, agent — flow diagrams, advantages, disadvantages and when to recommend each
Promotion	Reasons for promotion; sales methods (vouchers, loyalty, competitions, BOGOF, samples, BNPL); advertising (social media, email, leaflets, billboards)
Ecommerce	Examples (Amazon, Spotify, Trainline, Monzo); advantages and disadvantages for businesses AND for customers
Mktg Strategy	All 4 Ps work together; recommend and justify a full marketing mix using specific evidence from the case study
International	Advantages (sales, risk); disadvantages (culture, law, knowledge, exchange rates); 4 entry methods: exporting, ecommerce, franchise, joint venture